

Module -4

ORGANISATIONAL
CULTURE

‘OR’

CORPORATE
CULTURE

INTRODUCTION:

- Organisational culture has assumed considerable importance now-a-days because of its impact on employee performance and satisfaction.
- What is your culture? Many organisations now face this question from the knowledge workers of the new generation.

CORPORATE CULTURE...

MEANING:

- **Culture is the moral, social and behavioural norms of an organisation.**
- Culture is something which is created and resides in the minds of the people.
- Culture creates impacts on beliefs, attitudes, and priorities of organisational members.
- Building culture through continuous learning is now a goal practice.

DEFINITION:

- Organisational culture has been defined as the philosophies, ideologies, values, assumptions, beliefs, expectations, attitudes and norms that knit an organisation together and shared by its employees.

CHARACTERISTICS OF ORGANISATIONAL CULTURE:

The following characteristics help us to understand the nature of culture.

When these characteristics are mixed and interconnected, we get the essence of culture.

CHARACTERISTICS OF ORGANISATIONAL CULTURE...

1) INDIVIDUAL INITIATIVE:

- The degree of responsibility, freedom, and independence that individuals have.

2) RISK TOLERANCE:

- The degree to which employees are encouraged to be aggressive, innovative and risk-seeking.

3) DIRECTION:

- The degree to which the organisation creates clear objectives and performance expectations.

4) INTERGRATION:

- The degree to which units within the organisation are encouraged to operate in a coordinated manner.

CHARACTERISTICS OF ORGANISATIONAL CULTURE...

5) MANAGEMENT SUPPORT:

- The degree to which managers provide clear communication and assistance and support to their subordinates.

6) CONTROL:

- The number of rules and regulations, and the amount of direct supervision that is used to over see and control employee behaviour.

7) IDENTITY:

- The degree to which members identify with the organisation as a whole rather than with their particular work group or field of professional expertise.

CHARACTERISTICS OF ORGANISATIONAL CULTURE...

8) REWARD SYSTEM:

- The degree to which reward allocations are based on employees' performance criteria in contrast to seniority, favouritism and so on.

9) CONFLICT TOLERANCE:

- The degree to which employees are encouraged to air conflicts and criticism openly.

CHARACTERISTICS OF ORGANISATIONAL CULTURE...

10) COMMUNICATION PATTERN:

- The degree to which organisational communications are restricted to the formal hierarchy of authority.
- Organisational members tend to internalise cultural practices and like to indoctrinate new comer into such essential characteristics.
- Some of these practices are so thoroughly internalised that no one asks questions about that.

FUNCTIONS OF ORGANISATIONAL CULTURE:

- Culture performs the following functions:
 - I. Culture creates distinctions between one organisation and other.
 - II. Culture conveys a sense of identity for the employees of the organisation.
 - III. Culture enhances social system stability.
 - IV. Culture is the social glue that holds the organisation together by providing standards for what employees should say and do.
 - V. Culture serves as a control mechanism that guides and shapes the attitudes and behaviour of employees.

TYPES OF CULTURE:

1. Dominant Culture
2. Sub Culture
3. Strong Culture
4. Weak Culture
5. National Culture
6. Business Culture

TYPES OF CULTURE:

1) DOMINANT CULTURE:

- The culture, which is marked by a set of core values that are shared by a majority of the organisational members, is dominant culture.

2) SUBCULTURE:

- Subculture refers to a set of values that are shared by the members of a department.

3) STRONG CULTURE:

- Organisation's core values, which are intensely held and widely shared, are known as strong culture.
- It has significant influence on the employee behaviour.

TYPES OF CULTURE...

- A strong culture is manifested in reduced turnover, lower absenteeism, increased cohesiveness and positive attitudes.
- This is so because there is a high agreement among the members.
- Strong culture results in high behavioural control which is more powerful than the formal rules and regulations.
- Organisations, having strong culture, perform better than others.
- Strong culture leads to group think.

TYPES OF CULTURE...

- **Strong culture has the following characteristics:**
 - A clean philosophy exists about how business is to be conducted.
 - Considerable time is spent for communicating values and beliefs.
 - Explicit statements are made that describe the organisation's values.
 - New employees are screened carefully to make them fit with the strong culture.

TYPES OF CULTURE...

4) WEAK CULTURE:

- When core values are not shared with high degree of intensity, it forms weak culture.
- A weak culture is characterised by the presence of several sub-cultures, sharing of few values and behavioural norms by employees, and existence of few sacred traditions.
- There is little cohesion in weak-cultured organisation.

TYPES OF CULTURE...

- The top executives do not repeatedly expose any business philosophy.
- Because of the lack of shared values, organisational members have no deeply felt sense of identity.
- The lack of corporate identity tends to result in few employees viewing the company as a place to work and their work as a way to make a living.

TYPES OF CULTURE...

5) NATIONAL CULTURE:

- National culture is the dominant culture within the political boundaries of the nation.
- Dominant culture represents the culture of the people of a country.
- Formal education and business is usually conducted in the language of dominant culture.
- National culture is important for international managers who have to manage cultural diversities.

TYPES OF CULTURE...

6) BUSINESS CULTURE:

- Business culture represents norms, values, and beliefs that pertain to all aspects of doing business in a culture.
- It tells people the correct and acceptable ways to conduct business in a society.
- National culture impacts business culture.
- Business culture influences all aspects of work and organisational life.
- This includes how managers select and promote employees, lead and motivate their subordinates, structure their organisations, select and formulate their strategies and negotiate with other business people.

DEVELOPING A CULTURE:

- The ultimate source of an organisation's culture is its founder.
- The founder starts his organisation with a vision.
- Then the vision is imposed on all organisational members.
- For example, J.R.D Tata's belief on professionalism, honesty and fair dealings made the vast Tata Empire.

DEVELOPING A CULTURE...

- According to **Luthans** the process of creating a culture involves the following three steps:
 - i) The founder has a vision for an organisation.
 - ii) The founder brings in some people and creates a core group which shares this vision.
 - iii) The founder and the core group begins to create the organisation by raising funds, obtaining patents, acquiring space, building and so on.

MAINTAINING A CULTURE:

- Culture can be maintained through following three practices:

i) SELECTION PROCESS:

- The first step in maintaining culture is the careful selection of entry level candidates.
- The basic purpose of selection process is to appoint right people for right jobs.
- Thus, by identifying the suitable candidates who can culturally match the organisational culture, selection process helps to maintain culture.

MAINTAINING A CULTURE...

ii) TOP MANAGEMENT:

- Subordinates imitate their superiors.
- Hence, the actions of top management such as what the managers say and how they behave have a major impact on the employees working at lower levels.
- Managerial actions like degree of freedom granted to the subordinates, employee uniform, promotions and other rewards also help to create a culture in the organisation.

SUSTAINING/MAINTAINING A CULTURE...

iii) **SOCIALISATION:**

- Socialisation is the process of adaptation.
- New organisational members coming from different moods are likely to disturb the common customs and beliefs already established in the organisation.
- Therefore, the new employees need to be trained to adapt the organisational culture.

CHANGING A CULTURE:

- As organisations do not remain the same over a period of time, so is the case of culture as well.
- Culture established in one type of environment may not remain effective in changed environment.
- If it is so, the organisation must either adapt to new conditions of environment or it may not survive.
- Hence, there is the need for change in organisational culture.

CULTURE AND ORGANISATIONAL EFFECTIVENESS:

i) PERFORMANCE AND SATISFACTION:

- Culture has significant impact on performance.
- Strategy implementation is made easy through culture.
- Culture is characterised by goal alignment, that is, all employees share common goals.
- Strong culture creates a high level of motivation because of shared value.
- Strong culture provides control mechanism.

CULTURE AND ORGANISATIONAL EFFECTIVENESS...

ii) STRONG COMMITMENT FROM EMPLOYEES:

- Culture provides a sense of identity to members of the organisation and increases their commitment to the organisation.
- Employees are motivated when they see their work is rewarding.

iii) EFFECTIVE CONTROL:

- Culture serves as control mechanism that shapes behaviour of employees.
- A strong culture imbibes people to perform effectively and keep firm grip on quality and people do not engage in poor team work or be disrespected to employees.

CULTURE AND ORGANISATIONAL EFFECTIVENESS...

iv) PROMOTION AND INNOVATION:

- Organisational culture contributes to creativity and innovation by the development of norms that support such a process.

v) STRATEGY FORMULATION AND IMPLEMENTATION:

- Culture energises employees to do their jobs in a strategy-support manner.

HUMAN RESOURCE MANAGEMENT (HRM)

MEANING:

- Management is the process of “Getting things done” with the available resources.
- Human Resource Management(HRM) is the function performed in organisations that facilitates the most effective use of employees to achieve organisational and individual goals.

HRM...

- Human Resource Management includes:
 - Human Resource Planning,
 - Job and Work Design,
 - Job Analysis,
 - Staffing,
 - Training and Development,
 - Performance Appraisal & Review,
 - Compensation and Reward,
 - Employee Protection and Representation and
 - Organisational Improvement.

HUMAN RESOURCE MANAGEMENT PROCESS:

- Human Resource Management process consists of following four functions:

i) ACQUISITION OF HUMAN RESOURCES:

- It includes:
 - Job Analysis,
 - Human Resource Planning,
 - Recruitment,
 - Selection,
 - Placement,
 - Induction or Orientation and
 - Internal Mobility.

HRM PROCESS...

ii) DEVELOPMENT OF HUMAN RESOURCES:

- It includes:
 - Improvement of Skill
 - Improvement of Knowledge
 - Improvement of Aptitude and Values.

iii) MOTIVATION OF HUMAN RESOURCES:

- It is the willingness to exert high level of efforts towards organisational goals.

iv) MAINTENANCE OF HUMAN RESOURCES:

- It is related to
 - Providing good working conditions to people and
 - To retain people who are performing at high levels.

HRM PROCESS...

- Every organisation is made up of people.
- Those organisations which are able to acquire, develop, stimulate and keep outstanding workers will be both effective and efficient.
- Human resources create organisations and make them survive and prosper.
- If human resources are neglected or mismanaged, the organisation is not likely to do well.

RECRUITMENT:

- Recruitment is the process of finding and attracting capable applicants for employment.
- The recruitment process begins when new employees are sought and ends when their applications are submitted.
- The result is a pool of applicants from which new employees are selected.
- Recruitment is the first stage in the process which continues with selection and ceases with the placement of the candidates.

RECRUITMENT...

- Recruitment may be from internal sources or external sources.
- Internal sources are:
 - present employees,
 - employee referrals,
 - former employees and
 - previous applicants,
- Internal recruitment is less costly.
- Skills and abilities of candidates are known.
- Internal recruitment promotes employee morale.
- Creative problem solving may be hindered in internal sources of recruitment.

RECRUITMENT...

- External sources of recruitment are:
 - advertisements,
 - employment exchanges,
 - colleges/universities/institutes
 - consultants
 - trade unions, and
 - competitors' firms.
- In external sources of recruitment, organisations will have new skills, new talents and new experiences.
- But this may dis-motivate and put negative impact on the morale of employees.

SELECTION:

- Selection is the process of picking right candidate for the right job.
- The right candidate implies individuals with required qualifications and competence for the job.
- Recruitment and Selection are the two crucial steps in the Human Resource Management process.
- Recruitment is the process of identifying and encouraging prospective employees to apply for jobs. Selection is concerned with the picking of right candidates from the pool of applicants.

SELECTION...

- Recruitment is said to be positive in its approach as it seeks to attract as many candidates as possible.

Selection is negative in its approach as it seeks to eliminate as many unqualified applicants as possible to identify the right candidates.

- Effective selection helps to secure people who have the competence and willingness to work.

SELECTION...

- Selection is a long-chain process involves activities such as:
 - Tests,
 - Interviews,
 - Reference,
 - Background Checks,
 - Medical Test and
 - Job Offer.

ORIENTATION/ INDUCTION:

- Orientation is designed to provide the information to the new employees who need to function comfortably and efficiently in the organisation.
- Typically, orientation conveys following three types of information:
 - i) General information about the daily work routine.
 - ii) A review of the organisation's history,
Founding fathers,
Objectives,
Operations,
Products or services as well as
How the employee's job contributes to the organisation's needs
and
 - iii) Organisation's policies, work rules and employee benefits.

ORIENTATION...

- Purpose of organisation is to make new employee feel “at home” in the new environments.
- Employees feel anxious when they enter in organisation.
- Effective orientation programmes reduce the anxiety of new employees by giving them information on the job environment and on supervisors by introducing them to co-workers, and by encouraging them to ask questions and will create a favourable impression about the organisation.

PLACEMENT:

- Placement is the assignment or reassignment of an employee to a new or different job.
- After an employee has been hired and oriented, he must be placed in his right job.
- Placement includes initial assignment of new employees and the promotion, transfer or demotion of present employees.

TRAINING AND DEVELOPMENT:

- After the employee is placed on the job, he needs training to perform his duties effectively.
- Workers must be trained to operate machines, reduce scraps and avoid accidents.
- It is not that only workers need training.
- Managers, supervisors and executives also need to be developed in order to enable them acquire growth and maturity in thinking and actions.
- Training and development constitute an ongoing process in any organisation.

TRAINING AND DEVELOPMENT:

- Any training and development programme must include such inputs as
 - Skills,
 - Education.
 - Ethics,
 - Attitudinal change and
 - Problem Solving Abilities

IMPORTANCE OF TRAINING:

- Employees become efficient after undergoing training and they contribute to the growth of the organisation.
- Accident, scrap and damage to machinery and equipment can be avoided or minimised.
- Future needs for employees will be met through training and development programmes.
- A company's training programme pays dividend to the employees and the organisation.

Methods and Techniques of Training:

ON-THE-JOB TRAINING:

- On-the-job training method refers to those which are applied in the work place, while the employee is actually working.
- The techniques includes:
 - Job Instruction Training,
 - Job Rotation
 - Apprenticeship and
 - Coaching.

Methods and Techniques of Training...

OFF-THE-JOB TRAINING:

- Off-the-Job training is used away from the work place.
- Techniques include:
 - Lectures
 - Video presentation
 - Case study
 - Stimulation
 - Self study
 - Laboratory Training, etc.

PERFORMANCE APPRAISAL:

- Performance appraisal is the assessment of the individual's performance in a systematic way.
- Individual's performance is measured against following factors:
 - Quality and quantity of output,
 - Initiative,
 - Leadership Abilities,
 - Supervision and cooperation.

PERFORMANCE APPRAISAL...

OBJECTIVES:

- Performance appraisal is done for:
 - Giving promotions,
 - Deciding pay rises and
 - Confirming probationary employees
 - Assessing Training and Development needs of employees.
 - Informing employees where they stand in so far as their performance concerned
 - Determining whether the programmes such as selection, training, transfers have been effective or not.

METHODS OF PERFORMANCE APPRAISAL:

- Number of methods have been devised to measure the quantity and quality of employee's job performance.
- Methods of performance appraisal can be classified in to following two types:
 - I. Past-oriented Methods and
 - II. Future-oriented Methods.

PERFORMANCE APPRAISAL:

- Once performance appraisal has been made on an employee, the raters should discuss and review the performance with the ratees, so that they will receive feedback about where they stand in the eyes of the superiors.
- Feedback is necessary to achieve improvement in performance, specially when it is inadequate.

PERFORMANCE APPRAISAL...

- **Performance interview has following three goals:**

- i) To change behaviours of employee whose performance is not meeting organisational requirements or their own personal goals.
- ii) To maintain behaviours of employees who are performing in an acceptable manner and
- iii) To organise superior performance behaviour, so that they will be continued.

EMPLOYEE REMUNERATION:

- Remuneration is what employees receive in exchange for their contribution to the organisation.
- Adequate remuneration helps organisation in:
 - Obtaining productive workforce,
 - Retaining productive work force and
 - Maintaining productive work force.

EMPLOYEE REMUNERATION...

- Industrial peace largely depends on the remuneration.
- Remuneration package of employees includes varied components, such as,
 - Wage and salary,
 - Incentives or payments by results,
 - Fringe benefits/Non-wage benefits and
 - Non-monetary benefits.

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